MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARENCE EXAMINATION NOVEMBER 2025

First Semester Discipline Specific Course (DSC) -MG1DSCECO100

ESSENTIALS OF ECONOMICS -I

(2024 ADMISSION ONWARDS)

Duration : 2 hours **Maximum Marks : 70**

SCHEME FOR VALUATION

PART A — SHORT ANSWERS (Answer any 10 Questions, 2 marks each)

1. • Uses scientific method—observation, hypothesis, testing. (1 mark)

• Uses models and empirical evidence to predict behaviour. (1 mark)

2. Tax on international trade. (1 mark)

• Usually on imports, sometimes on exports. (1 mark)

3. • Consumers bear entire burden. (1 mark)

• Quantity does not change, so tax passed fully. (1 mark)

4. • Lower opportunity cost in producing a good/relative efficiency . (1 mark)

• Forms basis of beneficial trade. (1 mark)

5. Any two: externalities/market power/public goods/information asymmetry. (1 mark + 1 mark)

6. • Promotes cooperation & income growth. (1 mark)

• Global pressure to follow Labour norms. (1 mark)

7. • Any two functions such as fiscal/monetary regulation for controlling inflation, reducing unemployment, correcting market failures, and promoting growth. (1+1 marks)

8. • Power to negotiate favorable trade terms. (1 mark)

• Based on economic or strategic strength. (1 mark)

9. • Es = % change in quantity supplied / % change in price. (1 mark)

• Measures responsiveness of supply. (1 mark)

10.• Maximum legal price below equilibrium. (1 mark)

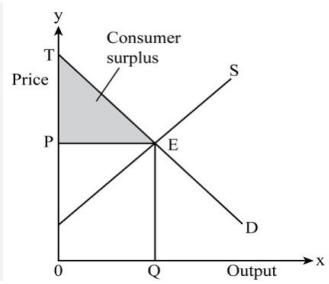
• Causes shortages when binding. (1 mark)

11. Sustained rise in general price level. (1 mark)

Effect: reduces purchasing power. (1 mark)

12. C S: WTP – price actually paid. (1 mark)

• Area under demand curve above market price.- Diagram . (1 mark)



13. • Tax on buyers → demand curve shifts left; buyers and sellers share burden (1 mark)

- Tax on sellers → supply curve shifts left; price rises, quantity falls. Burden depends on elasticity. (1 mark)

14. Define competitive market (0.5 mark)

• Any two correct features (homogeneity, large numbers, free entry). (1.5 marks)

15. • Scarcity, choice, resource allocation. (1 mark)

• Production, distribution, consumption. (1 mark)

PART B — SHORT ESSAY (Answer any 10 Questions, 5 marks each)

16. • Define elasticity of demand. (1 mark)

• Pricing decisions. (1 mark)

• Government taxation decisions. (1 mark)

• Predict market responses. (1 mark)

• Consumer behaviour. (1 mark)

17 • Simplify complex economy. (2 marks)

• Helps build models and predictions. (2 marks)

• Improves clarity. (1 mark)

18. • At equilibrium, the quantity produced is exactly where buyers' willingness to pay equals sellers' cost of production.(2 marks)

• CS + PS highest here. (2 marks)

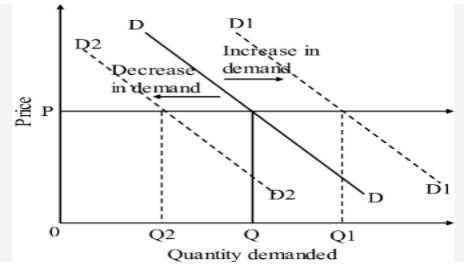
• Deviation causes deadweight loss. (1 mark)

19. • Define demand shift/Changes in demand. (1 mark)

• Rightward shift (increase in demand)→ (1.5 marks)

• Leftward shift (decrease in demand) → (1.5 marks)

• Diagram. (1 mark)



20. Three interaction principles (Mankiw).

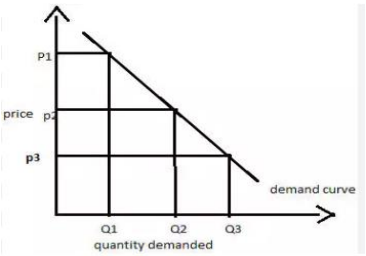
- Trade makes everyone better off – enables specialization. (1.5 marks)
- Markets are good ways to organize economic activity – guided by the invisible hand. (1.5 marks)
- Governments can improve market outcomes – correcting externalities, providing public goods, regulating market power. (1.5 marks)

These principles explain cooperation, coordination, and the role of institutions in economic life. (0.5 mark)

21. Statement of Law of demand.• (2 marks)

• Reasons: income, substitution, diminishing MU. (2 marks)

• Diagram. (1 mark)

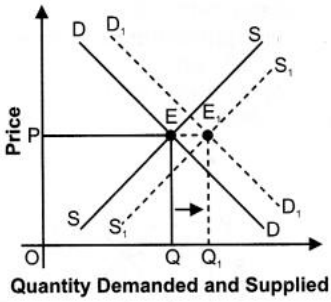


22. Market equilibrium - Definition: Qd=Qs. (2 marks)

• Demand shift effects. (1 mark)

• Supply shift effects. (1 mark)

• Diagram. (1 mark)



23. • Domestic industry decline. (1 mark)

• Job losses. (1 mark)

• Unfair competition. (1 mark)

• strategic sectors may weaken (1 mark)

• Illustration. (1 mark)

24. • Micro definition + example. (2 marks)

• Macro definition + example. (2 marks)

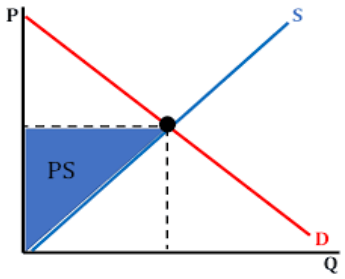
• Differences: scope, units of analysis, variables studied. (1 mark)

25. • Seller's cost = minimum acceptable price. (1 mark)

• Producer surplus = price received – seller's cost. (2 marks)

• Supply curve : the minimum price at which producers are willing to sell each unit of the good. (1 marks)

• Diagram of producers surplus (1 mark)

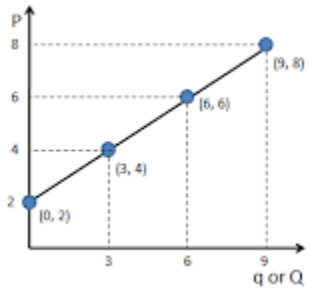


26. Supply function -Meaning: relationship between P and Qs. (2 marks)

• Supply schedule. (2 marks)

• Diagram. (1 mark)

Price	Quantity Supplied
$2	0
$4	3
$6	6
$8	9



27. Value Liberally•Tax incidence definition. (1 mark)

• Buyers reduce purchases sharply. (1 mark)

• Sellers bear more burden. (1 marks)

• High-income effect. (1 mark)

• Low-income effect. (1 mark)

28.

$$\text{Cross Elasticity of Demand} = \frac{\%\text{ change in quantity demanded of Good X}}{\%\text{ change in price of Good Y}}$$

(2 marks)

• Positive: substitutes. (1 mark)

• Negative: complements. (1 mark)

• Zero: unrelated goods. (1 mark)

29. Any two benefits: Helps infant industries-Protects employment.-Reduces foreign dependence.-Encourages innovation & self-reliance.(2.5 marks)

Any two drawbacks: Higher prices for consumers. --Inefficiency due to lack of competition.-Government revenue loss through subsidies. --Difficult to remove protection once given (2.5 marks)

30. Positive economics: Describes “what is”.--Factual, testable, objective. (2 marks)

Example: “Inflation increases when money supply rises.” (0.5 mark)

Normative economics: Describes “what ought to be”.-Value-based, subjective, opinion. (2 marks)
Example: “Government should raise minimum wages.” (0.5 mark)